ments—can appear to be supporting prices, but eventually the market has to kick back toward the long-term average.

If the system convinces everyone that it has evolved into an ever-upward path, it means only that more distortion is being stored up before the reversion comes. The more sophisticated the system that maintains the distortion, the bigger the smash ahead. You might well find out that what you're going to end up with is the mother of all bear markets. It has to happen. It happened in Japan. It will happen here after the distortion builds to an untenable level. We have to get back to the average.

This is what the market timers try to predict, of course, because it is easy to say the market has gone too far one way or the other. Trouble is, it is very hard to say *when* the correction will occur. It's like earthquakes: the energy has to be released, but we can't predict when.

Earthquakes are an apt metaphor here. Earthquakes are the end result of two tectonic plates moving relative to each other, an enormously energy-creating event. As long as the plates stick together, life is quite peaceful and pleasant. But the energy in that fault continuously builds and builds. When the plates eventually release that energy, we have an earthquake. It is quite easy to predict how much energy is going to be released in the next century by the San Andreas Fault, but we cannot predict just where along the fault that energy release will occur, or on what day it will happen.

In the same way, you can see that as the market goes up and up, the energy stored in it is going to have to be released and an explosion occur that will bring the market back down toward its long-term level of return. But whether that's going to happen tomorrow or next year is not so easily found out. Most people who have tried to predict the hour haven't done very well at it.